Type MS · Label the economic cycle diagram

Answer 1 of 7 · Question 2 part f · 3 marks

2023 JAN · Paper 02 · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** invisible exports A is not correct because this is trade in goods leaving the country B is not correct because this is trade in goods entering the country D is not correct because this is money leaving the country	**(1)**

Question Number	Which **one** of the following is likely to help protect the environment? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** An increase in fines B is not correct because this will allow more pollution C is not correct because this will reduce control of pollution D is not correct because this will reduce protected areas of the environment	**(1)**

Question Number	State **one** possible disadvantage of economic growth. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Inflation • Damage to the environment • Using up unsustainable resources Accept any other appropriate response	**(1)**

Type MS · Label the economic cycle diagram

Answer 1 of 7 · Question 2 part f · 3 marks

2023 JAN · Paper 02 · extract 2 of 6 · find part f in this mark scheme extract

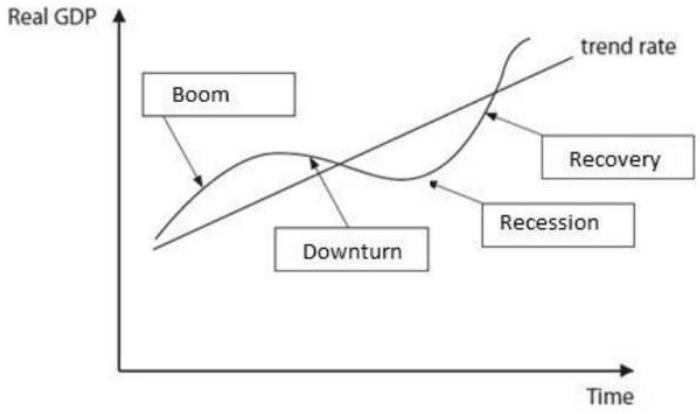
Question Number	What is meant by the term privatisation? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to selling a government controlled activity and 1 mark to private investors The act of selling a company/activity controlled by the government **(1)** to private investors **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** possible reason why the Scottish Government wants to reduce poverty and inequality. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to meet basic needs **(1)**. Many people do not have enough income for food and shelter **(1)**. By investing £37.2m fewer low income households may suffer from poverty **(1)** • One reason is to raise standards of living **(1).** Low income households would be able to access more goods and services **(1)** resulting in fewer low income households suffering from relative poverty **(1)** Accept any other appropriate response	**(3)**

Type MS · Label the economic cycle diagram

Answer 1 of 7 · Question 2 part f · 3 marks

2023 JAN · Paper 02 · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below, draw and label the remaining **three** stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for downturn, labelled Award 1 mark for recession, labelled Award 1 mark for recovery, labelled  	**(3)**

Type MS · Label the economic cycle diagram

Answer 1 of 7 · Question 2 part f · 3 marks

2023 JAN · Paper 02 · extract 4 of 6 · find part f in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely impact on the demand for US exports to Australia after the depreciation of the US dollar. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A depreciation is where the value of currency falls relative to another currency • A depreciation of the US dollar against the Australian dollar may result in an increase in the amount of exports of goods between the US and Australia • This is because US exports are now cheaper to purchase as fewer Australian dollars are required to be exchanged for US dollars • This could result in more exports of machinery, vehicles, medical instruments and aircraft between the two countries • This could further improve the trade balance between the US and Australia if more exports are traded compared to imports **AO4** • However, a depreciation of the US dollar may not result in an overall increase in exports of goods between the US and Australia • The impact will depend on the size and duration of the depreciation • The impact will also depend on PED for US exports • The amount of goods traded between the two countries will not just depend on the exchange rate between the US and Australia • The quality of US exports is a factor in whether Australia will purchase more US made goods, not just the exchange rate	**(9)**

Type MS · Label the economic cycle diagram

Answer 1 of 7 · Question 2 part f · 3 marks

2023 JAN · Paper 02 · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Label the economic cycle diagram

Answer 1 of 7 · Question 2 part f · 3 marks

2023 JAN · Paper 02 · extract 6 of 6 · find part f in this mark scheme extract

Question Number	What was the rate of inflation if the consumer price index (CPI) of a country rose from 120 to 150? **Answer**	Mark

Type MS · Label the economic cycle diagram

Answer 2 of 7 · Question 1 part f · 3 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part f in this mark scheme extract

1(a)	**AO1 1 marks** **B** unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** **C** Subsidies	**(1)**

Question Number	**Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to value of goods/services and 1 mark to time period GDP is the market value of all goods and services **(1)** produced in a year **(1)** Accept any other appropriate response	**(2)**

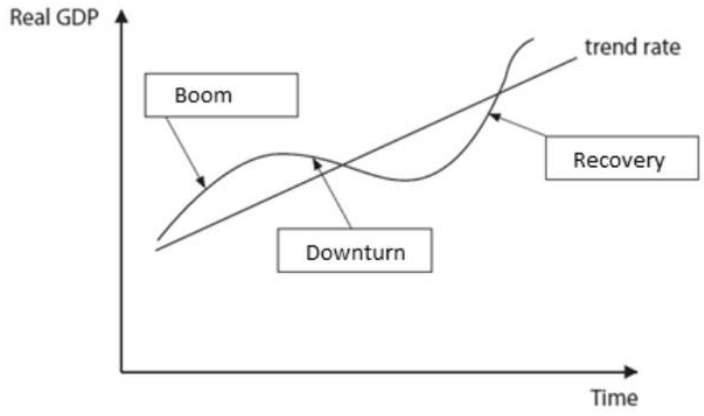
Question Number	**Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the positive impact and 1 mark for development of the positive impact An improvement in standards of living **(1)** due to more income from jobs **(1)** Accept any other appropriate response	**(2)**

Type MS · Label the economic cycle diagram

Answer 2 of 7 · Question 1 part f · 3 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Answer	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation $\frac{130.3 - 120.4}{120.4} \times 100$ **(1)** Award 1 mark for the correct answer = 8.22% **(1)** Award 2 marks if the correct answer 8.22% is shown, with percentage sign, even if no calculation is shown Award 1 mark if correct answer is shown 8.22, but with no percentage sign, even if no calculation is shown Do not award marks for the formula	**(2)**

Question Number	Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for boom, labelled Award 1 mark for downturn, labelled Award 1 mark for recovery, labelled  **Figure 1**	**(3)**

Type MS · Label the economic cycle diagram

Answer 2 of 7 · Question 1 part f · 3 marks

2020 NOV · Paper 02 · extract 3 of 5 · find part f in this mark scheme extract

Question Number	**Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is due to generous welfare benefits **(1)**. If a teacher is able to have a good standard of living on welfare benefits **(1)** then there is a disincentive to work at the current wage rates being offered in the education sector **(1)** • One reason is due to high rates of income tax **(1)**. If a person has to give a large proportion of earned income to the government **(1)** then there is less of an incentive to be employed as a teacher **(1)** Accept any other appropriate response	**(3)**

Type MS · Label the economic cycle diagram

Answer 2 of 7 · Question 1 part f · 3 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Firms need to transport goods and services around the world and often use large container ships or air to transport goods long distances • Larger cargo ships have resulted in a reduction in the cost of transporting goods by up to 70% on ships as more goods are able to be transported at the same time • This reduces the cost of fuel and economies of scale can be achieved by operating on a larger scale • Transport improvements in aviation also mean that goods and people can travel more quickly between different countries • This has enabled firms to react quickly to consumers around the world • Firms are able to provide perishable goods such as food more easily to a wider geographical area • All these factors have contributed to the increase in globalisation	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Label the economic cycle diagram

Answer 2 of 7 · Question 1 part f · 3 marks

2020 NOV · Paper 02 · extract 5 of 5 · find part f in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Label the economic cycle diagram

Answer 3 of 7 · Question 2 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **B** Trade-off A is not correct because this is a result of inflation C is not correct because this the loss of the next best alternative D is not correct because this is the name for a group of countries with a preferential trading agreement	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** Asset purchasing A is not correct because the central bank does not lend to firms B is not correct because this is the role of government D is not correct because is the role of the high street banks	**(1)**

Question Number	State one type of inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** type. • Demand-pull • Cost-push	**(1)**

Type MS · Label the economic cycle diagram

Answer 3 of 7 · Question 2 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

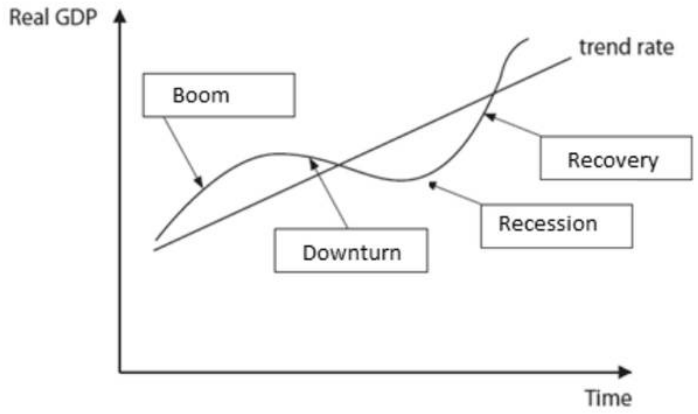
Question Number	What is meant by the term fiscal surplus? **Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to government revenue and 1 mark for reference to being greater than expenditure When government revenue **(1)** is greater than government expenditure **(1)** **OR** When government expenditure **(1)** is less than government revenue **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain one disadvantage of deregulation for a country such as Indonesia. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is damage to the environment **(1).** Mining often has a negative impact on the environment **(1)** and this may increase as mines no longer have to follow government controls **(1)** Accept any other appropriate response.	**(3)**

Type MS · Label the economic cycle diagram

Answer 3 of 7 · Question 2 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for boom, labelled correctly Award 1 mark for recession, labelled correctly Award 1 mark for recovery, labelled correctly  	**(3)**

Type MS · Label the economic cycle diagram

Answer 3 of 7 · Question 2 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Assess the effectiveness of infrastructure spending to reduce unemployment in a country such as Canada. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The local government in Alberta is investing in a wide range of projects including repairing roads, bridges and upgrading technology in schools and universities • In the short term, building or upgrading the transport network can boost (aggregate) demand through increased construction activity and employment • Canadian construction, road and technology firms may require additional employees to complete the projects • In the long term, infrastructure investment can reduce unemployment by increasing the potential supply capacity of an economy • The latest unemployment figures increased to 8.7% in March so investing in infrastructure projects could help to boost output without the danger of inflation **AO4** • However, it can be argued that spending $1.9bn may not reduce unemployment in the long term • There is an opportunity cost of these investments with no guarantee that unemployment will decrease in the long term • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the projects can add to (aggregate) demand and (aggregate) supply • The local government in Alberta should use a range of supply-side and fiscal policies to reduce unemployment	**(9)**

Type MS · Label the economic cycle diagram

Answer 3 of 7 · Question 2 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Label the economic cycle diagram

Answer 3 of 7 · Question 2 part f · 3 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Label the economic cycle diagram

Answer 4 of 7 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 5 · find part f in this mark scheme extract

Number	Answer	
1(a)	**AO1 1 mark** The only correct answer is: **D** reprinting brochures when prices change A is not correct because these are shoe leather costs B is not correct because these are labour costs C is not correct because these are fixed costs	**(1)**

Question Number	Which one of the following is likely to cause demand pull inflation? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** An increase in the consumption of goods A is not correct because this is likely to result in cost push inflation B is not correct because this is likely to result in lower inflationary pressures D is not correct because this is likely to result in less consumer spending in the economy	**(1)**

Question Number	What is meant by the term imports? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to purchase of goods and 1 mark for reference to being from another country The purchase of goods or services **(1)** from another country **(1)** Accept any other appropriate response	**(2)**

4

Type MS · Label the economic cycle diagram

Answer 4 of 7 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 5 · find part f in this mark scheme extract

Question Number	Describe the impact on the demand for a currency after an increase in interest rates. Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference an increase in demand and 1 mark for reference to investing savings/ rise in exchange rate There is likely to be an increase in demand for the currency **(1)** because foreign savers choose to put their savings in the bank with the higher rate of interest **(1)** Accept any other appropriate response	**(2)**

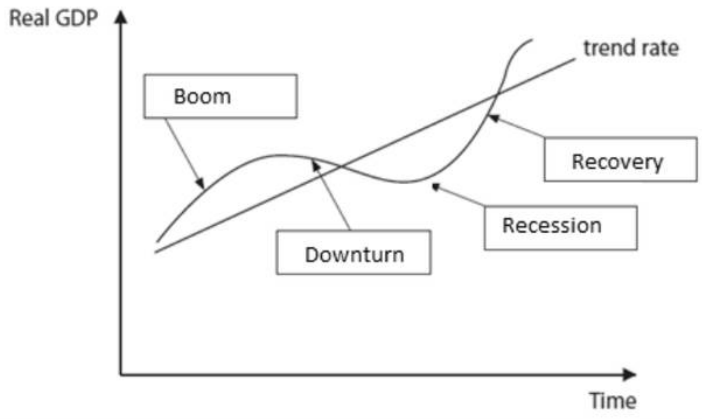
Question Number	Using the data in Figure 1, calculate in CAD$bn, the current account for Canada for the year ending 2020. Answer	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation CAD$524bn - CAD$561bn **(1)** Award 1 mark for the correct answer = -CAD$37bn **(1)** Award 2 marks if the correct answer of -CAD$37bn is shown even if no calculations are shown Award 1 mark if -37bn is shown, but with no CAD$ sign, with or without calculations shown Do not award marks for formula	**(2)**

5

Type MS · Label the economic cycle diagram

Answer 4 of 7 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 5 · find part f in this mark scheme extract

Question Number	Label the boxes in the diagram below with the three remaining stages of the economic cycle. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for downturn, labelled correctly Award 1 mark for recession, labelled correctly Award 1 mark for recovery, labelled correctly  	**(3)**

Question Number	Explain **one** reason why the Scottish Government gives benefit payments. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to reduce inequality and poverty **(1).** Benefit payments help to assist with meeting basic needs such as heating a home **(1)**. Therefore, more people will be able to have a better standard of living **(1)** Accept any other appropriate response	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Label the economic cycle diagram

Answer 4 of 7 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 5 · find part f in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the limitations of using GDP as a measure of economic growth for a country such as Singapore. Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • GDP is the market value of all final goods and services produced in a year • Increases in inflation could distort the true rate of economic growth in Singapore and only real GDP figures reflect the true rate of economic growth in an economy • GDP does not include figures for the hidden or informal economy as they are not included in GDP figures • GDP does not take into account population changes in Singapore • GDP does not take into account external costs such as environmental costs • As a result GDP does not measure how environmental costs might impact on the wellbeing of society • GDP figures such as 7.2% do not reflect how additional income is distributed between the population of Singapore • The growth may not be evenly distributed amongst the population of Singapore who still may remain in relative poverty	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

7

Type MS · Label the economic cycle diagram

Answer 4 of 7 · Question 1 part f · 3 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 5 · find part f in this mark scheme extract

Question Number	When a central bank buys government bonds from commercial banks it is known as Answer	Mark

Type MS · Label the economic cycle diagram

Answer 5 of 7 · Question 3 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

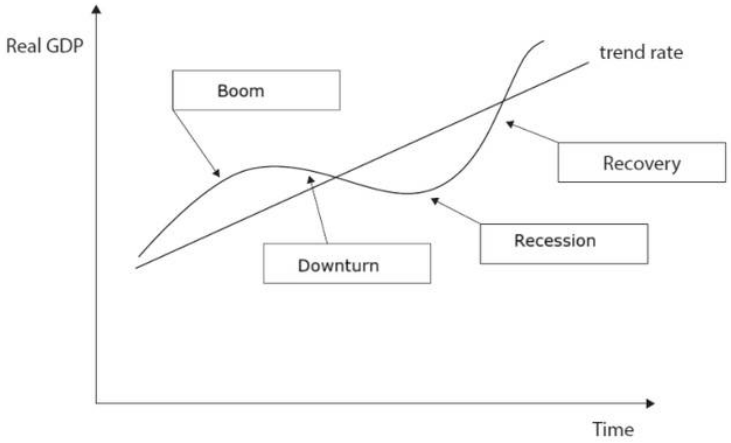
Number	Answer	
3(a)	**AO2 1 mark** The only correct answer is: **D** €100bn surplus A is not correct because this is calculated by adding the figures together and assumes a deficit B is not correct because this is €700bn-€800bn C is not correct because this is €800bn + €700bn	**(1)**

Question Number	Which **one** of the following is an example of a menu cost for Nike in its online shop during times of inflation? **Answer**	Mark
3(b)	**AO2 1 mark** The only correct answer is: **B** The cost of updates to the website due to higher prices for shoes A is not correct because this is a cost of production C is not correct because this describes shoe leather costs D is not correct because this is a cost of shopping online	**(1)**

Type MS · Label the economic cycle diagram

Answer 5 of 7 · Question 3 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/Slump/Depression, labelled  	**(3)**

Type MS · Label the economic cycle diagram

Answer 5 of 7 · Question 3 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the likely benefits of globalisation for clothing manufacturers. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Globalisation has opened new markets for producers to sell their goods and services to • This has created new opportunities for clothing producers in China and Bangladesh to expand their customer base and increase their sales revenue • It has enabled clothing producers to use cheaper labour and raw materials in China and Bangladesh • This has led to a reduction in production costs for clothing which has increased profitability for producers • Globalisation has enabled clothing producers to benefit from economies of scale • As production volumes of clothing increase the cost per unit decreases which can lead to lower prices for consumers and increased profits for the producers • Reduced costs of communication have occurred as technology has enabled producers to easily trade with other firms in the clothing supply chain	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Label the economic cycle diagram

Answer 5 of 7 · Question 3 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the Brazilian economy of introducing a tariff on tyres. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • A tariff is a tax on imported goods and services • The 16% tariff may have been introduced to protect the domestic tyre industry from foreign competition • By making imported tyres more expensive the tariff can make domestic tyres more competitive and help to support jobs in the domestic industry • The tariff may have been introduced to address trade imbalances • Brazil may be running a trade deficit therefore by increasing the cost of imports, the tariff can help to reduce imports • The 16% tariff may be to generate government revenue. The revenue generated from the tariff can be used to fund public services or pay off government debt **AO4** • However, tariffs can reduce competition in the tyre market as Brazilian producers have less incentive to improve quality and lower prices • This could lead to lower quality tyres being produced domestically and less innovation in the market • Other countries may respond to the tariff by imposing their own tariffs on Brazilian goods, leading to a trade war that could harm both countries' economies • This could lead to a decrease in the overall volume of trade and a reduction in economic growth • A tariff on imported tyres would likely result in higher prices for consumers • As the cost of imported tyres increases Brazilian tyre producers may also increase their prices leading to higher prices for all types of tyres	**(9)**

Type MS · Label the economic cycle diagram

Answer 5 of 7 · Question 3 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Label the economic cycle diagram

Answer 5 of 7 · Question 3 part c · 3 marks

2024 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Calculate, to two decimal places, **the price in British pounds (£)** of a park entry fee for 1 adult into the Corcovado National Park. You are advised to show your working. **Answer**	Mark

Type MS · Label the economic cycle diagram

Answer 6 of 7 · Question 2 part f · 3 marks

2024 JUN · Paper 02 · extract 1 of 7 · find part f in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increased economic growth A is not correct because it is likely to create more job opportunities B is not correct because it will make it easier and cheaper for firms to trade internationally D is not correct because it can make it easier and cheaper for consumers to purchase goods and services	**(1)**

Type MS · Label the economic cycle diagram

Answer 6 of 7 · Question 2 part f · 3 marks

2024 JUN · Paper 02 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Which **one** of the following types of unemployment is caused by changes in the business cycle? **Answer**	Mark
2(b)	**AO1 1 marks** The only correct answer is: **D** Cyclical A is not correct because this occurs due to a mismatch between the skills and qualifications of workers and the requirements of available jobs B is not correct because this occurs due to seasonal changes in the demand for labour C is not correct because this occurs when workers are in between jobs or transitioning to a new career	**(1)**

Question Number	State **one** possible impact of a current account deficit. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Leakage from the economy • Problems finding foreign currency reserves to fund the deficit • Can be inflationary • Increasing unemployment • Falling output/GDP Accept any other appropriate response	**(1)**

Question Number	What is meant by the term fines? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition Financial penalties imposed on individuals or businesses **(1)** who break the law/disobey regulations **(1)** Accept any other appropriate response	**(2)**

Type MS · Label the economic cycle diagram

Answer 6 of 7 · Question 2 part f · 3 marks

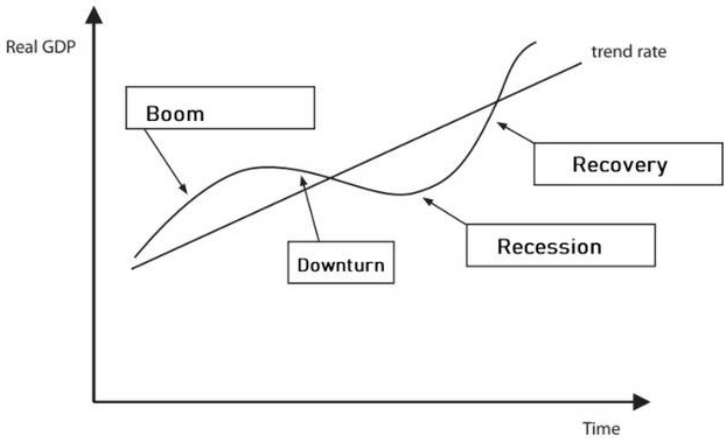
2024 JUN · Paper 02 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** way progressive taxation can help to reduce poverty for a country such as the US. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • Those that earn more pay a higher percentage in tax **(1)** which can pay for unemployment benefits, healthcare services and education subsidies **(1)** that can provide help for those who are struggling financially **(1)** • It reduces the income gap between the wealthy and people with lower incomes **(1).** Taking more taxation as a proportion from higher income earners **(1)** reduces the burden on workers with lower incomes **(1)** Accept any other appropriate response	**(3)**

Type MS · Label the economic cycle diagram

Answer 6 of 7 · Question 2 part f · 3 marks

2024 JUN · Paper 02 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recovery, labelled  	**(3)**

Type MS · Label the economic cycle diagram

Answer 6 of 7 · Question 2 part f · 3 marks

2024 JUN · Paper 02 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Subsidies are payments by the government to suppliers that reduce their costs • Subsidies can be used to promote domestic green technology industries that are deemed important for economic and social objectives • The $369bn can be used to encourage the production of renewable energy in the US producing batteries, solar panels and wind turbines • Subsidies can be used to encourage exports, by making domestic goods such as solar panels, more competitive on the global market thereby reducing trade deficits • Subsidies can be used to protect domestic employment by supporting US industries that might otherwise struggle to compete with foreign rivals in China • It may help to create new factories and millions of jobs as well as in related industries, such as manufacturing and construction, if green technology firms are attracted to the US to take advantage of the subsidies **AO4** • However, subsidies may create a dependence on the US Government which can make it difficult for these projects to be self-sustaining in the long-term • Subsidies can be expensive for the US Government and may divert funds away from other important priorities • Subsidies may be allocated inefficiently and may not be targeted towards the most effective or innovative green technologies • There could be retaliation from the EU and the UK that are unhappy with these subsidies and they could offer their own subsidies to attract green technology firms away from the US • Therefore, this may make the use of subsidies an inefficient use of resources by the US Government	**(9)**

Type MS · Label the economic cycle diagram

Answer 6 of 7 · Question 2 part f · 3 marks

2024 JUN · Paper 02 · extract 6 of 7 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Label the economic cycle diagram

Answer 6 of 7 · Question 2 part f · 3 marks

2024 JUN · Paper 02 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

Type MS · Label the economic cycle diagram

Answer 7 of 7 · Question 2 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

2(a)	**AO1 1 marks** The only correct answer is: **C** increases with higher income levels A is not correct because this describes a flat tax system B is not correct because this describes a regressive tax system D is not correct because this does not happen in a progressive tax system	**(1)**

Question Number	A depreciation in a country's exchange rate is most likely to lead to **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** increase in exports and a decrease in imports B is not correct because a depreciation would result in an increase in exports and a decrease in imports C is not correct because a depreciation would result in an increase in exports and a decrease in imports D is not correct because a depreciation would result in an increase in exports and a decrease in imports	**(1)**

Question Number	State **one** possible trade-off with inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible trade-off • Higher unemployment • Lower economic growth • Worsening current account on the balance of payments Accept any other appropriate response	**(1)**

Type MS · Label the economic cycle diagram

Answer 7 of 7 · Question 2 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

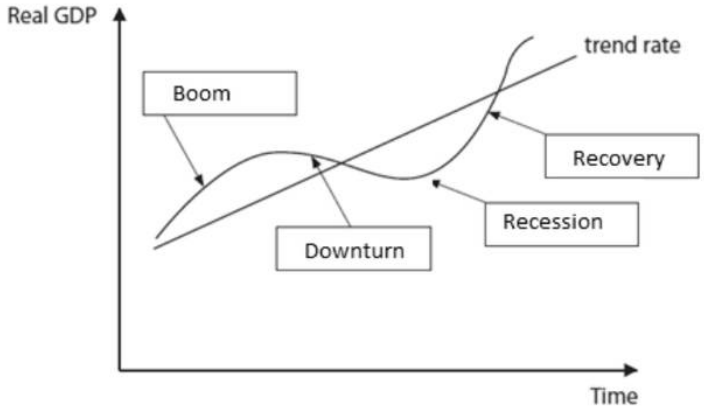
Question Number	What is meant by the term direct tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied/imposed on individuals/firms **(1)** based on the level of income/profits **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** disadvantage of privatising the provision of school meals in North Tyneside. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is that school meals could become more expensive **(1)** this is because private firms aim to make a profit. **(1)** This can make it harder for some families to afford school meals for their children at school **(1)** • One disadvantage is that workers might be paid less. **(1)** Private firms often try to save money in order to make a profit. **(1)** This can negatively impact the quality of service/the well-being of existing employees **(1)** Accept any other appropriate response	**(3)**

Type MS · Label the economic cycle diagram

Answer 7 of 7 · Question 2 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/slump/depression, labelled  	**(3)**

Type MS · Label the economic cycle diagram

Answer 7 of 7 · Question 2 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • With subsidies making solar-powered stoves affordable, more people might change the way they cook • Shifting from firewood or coal to solar-powered stoves decreases carbon emissions, contributing to cleaner air and combating climate change • Solar-powered stoves produce no harmful smoke, leading to better indoor air quality and reducing respiratory illnesses linked to smoke inhalation from firewood or coal • Promoting solar-powered stoves encourages the use of renewable energy and reduces reliance on fossil fuels • Subsidies can make the transition to solar-powered stoves more economically feasible for families, reducing long-term costs associated with buying fuel **AO4** • However, the subsidies cost money, which could be used for other important things like schools or hospitals • If the subsidies end, the price of solar-powered stoves might increase reducing the number of people wanting to use them • Sometimes the people who need the help the most might not get it, or the subsidies might not support the best or most efficient stoves • Subsidies can interfere with normal market operations, potentially stopping firms from improving their stoves or reducing prices on their own • Some people might prefer their traditional way of cooking and not want to switch to solar-powered stoves, making the subsidies less effective • It can be hard to manage and keep track of the subsidy programme, leading to potential waste	**(9)**

Type MS · Label the economic cycle diagram

Answer 7 of 7 · Question 2 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
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Type MS · Label the economic cycle diagram

Answer 7 of 7 · Question 2 part f · 3 marks

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Which **one** of the following is a feature of being a member of a trading bloc? **Answer**	Mark